

NVIDIA Corporation

NVDA NASDAQ

Buy	\$227.98 ▲ 8.74%	12M Price Target \$275.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.52T
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NVDA: Blowout Quarter Silences Bears, China Still Wildcard

WHAT HAPPENED

- NVDA ripped +8.7% on nearly 300M shares (2x normal volume) after last night's earnings — this was a "silence the bears" print. Data center revenue blew past estimates and guidance was raised, which matters because the whole bear case was "AI capex is peaking." It's clearly not.
- China remains the ugly asterisk. Management basically said they're planning without meaningful China revenue in the near term — the fact that the stock ripped anyway tells you the market is now valuing NVDA on the rest of the world alone.

WHY IT MATTERS

Here's the big inference: when a \$5T company gaps up 9% on 2x volume after earnings, that's institutions who were underweight scrambling to catch up — not retail chasing. The dividend chatter in the news flow is also meaningful; when a hyper-growth name starts getting compared to Apple's dividend era, it signals the market is starting to treat NVDA as a mature cash-flow monster rather than a speculative growth stock, which usually supports a higher, more stable multiple. The Jensen "ecosystem that can't fail" narrative is doing real work — CUDA + Blackwell + networking (Mellanox) + robotics (Omniverse) means competitors like AMD have to beat NVDA on four fronts simultaneously, and they're not. Watch for: hyperscaler capex guidance from MSFT/META/GOOGL next quarter — if they raise again, NVDA has another leg up regardless of what China does.

POLICY & POLITICAL WATCH

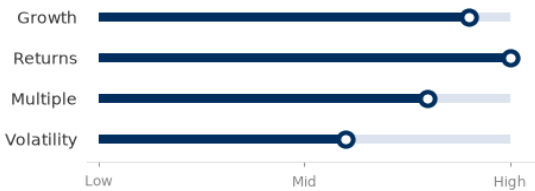
The single biggest policy variable is the China export control regime — the Trump administration has been running a hot/cold dance where NVDA gets partial licenses for H20 chips in exchange for a revenue-share arrangement with Treasury (unprecedented, and legally shaky). If that framework holds or expands to Blackwell-derivatives, that's billions in optionality the Street isn't fully modeling. On the tailwind side, the CHIPS Act 2.0 discussions and the AI infrastructure buildout language in the current appropriations cycle explicitly favor domestic AI compute — NVDA is the de facto beneficiary of any federal AI spending, including the ~\$40B in AI-related DoD and DOE budget lines being debated. Watch the Commerce Department's next export control update in September; that's the near-term binary.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$227.98
12M Price Target	\$275.00
Upside / (Downside)	+20.6%
Market Cap	\$5.52T
FY2026E Revenue	\$215M
FY2027E Revenue	\$285M
FY2026E EPS	\$4.85
FY2027E EPS	\$6.60
Fwd P/E	47.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$232.00	\$210.00
6 Months	\$275.00	\$250.00	\$195.00
1 Year	\$310.00	\$275.00	\$180.00
2 Years	\$400.00	\$330.00	\$175.00
5 Years	\$600.00	\$450.00	\$200.00
10 Years	\$900.00	\$650.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+3.16% today) is being led entirely by AI-infrastructure names — semis, hyperscalers, and power/cooling suppliers. The tailwind is federal AI spending priorities plus corporate FOMO on generative AI.

COOLING OFF: Energy, Utilities, Industrials all red — classic risk-on rotation OUT of defensives INTO growth. Utilities weakness is ironic given AI power demand, but rates are the driver here.

ROTATION WATCH: Money is flowing from defensive/value into AI-levered tech after NVDA's print gave the whole complex a green light. This is a "confirmation" trade — funds that were skeptical are now forced to add.

RELATED PLAY: The AI power/cooling supply chain (VRT for cooling, ETN for electrical, CEG for nuclear power PPAs to data centers) benefits directly when NVDA guides up — those companies literally can't ship product fast enough.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Custom AI silicon for hyperscalers — the "if not NVDA, then AVGO" trade. Riding the same wave.
- VRT (Vertiv): Data center cooling — every Blackwell rack needs liquid cooling, and Vertiv basically owns that market.

NVDA CONTEXT: NVDA is LEADING the AI complex today, not lagging, which matters — when the group leader gaps up on earnings and holds it, the sector usually grinds higher for weeks as underweight funds catch up. If NVDA were up 9% but AVGO/AMD were flat, I'd worry it was a short-covering pop; the fact that the whole complex is green confirms this is real re-rating, not a squeeze.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: \$210-215 on macro pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Data center revenue growth drops below 25% YoY or China H20/B-series export ban becomes permanent with no workaround

Hedging: Long-dated puts or pair with a short on a smaller AI-hardware name at richer multiple (e.g., ARM)